

EF5342 Financial Systems, Markets and Instruments

Week 5 — The Stock Market

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City University of Hong Kong

Semester B 2026–2027

Topics covered:

- Key features of stocks
- Primary stock market
- Secondary stock market
- Stock return calculation
- Stock market indexes
- Stock market regulation

What Are Stocks?

Stocks represent a piece of **ownership** in a corporation; shareholders are the legal owners.

Profit sharing Right to share in the firm's profits (e.g., through dividends — although not guaranteed)

Residual claimants Paid only after all other claims are satisfied in the event of bankruptcy or liquidation

Limited liability Lose only the amount invested in the stock

Control Control the firm's activities indirectly by exercising voting rights (e.g., to elect the board of directors)

Common vs. Preferred Stock

Common stock The fundamental ownership claim in a public or private corporation. Dividends are discretionary and thus not guaranteed; holders have the lowest priority in bankruptcy and liquidation (the residual claim)

Preferred stock Priority over common stock in payment of dividends and in liquidation. Generally fixed dividends paid quarterly; generally no voting rights unless dividend payments are missed

Two features of preferred:

- **Nonparticipating:** dividend is fixed regardless of any increase or decrease in the issuing firm's profits
- **Cumulative:** missed dividend payments go into arrears and must be made up before any common stock dividends can be paid

Shareholder Meetings, Votes, and Proxy Voting

Publicly traded companies hold annual (or special) shareholder meetings (AGMs) to vote on important issues: election of board directors, approval of executive compensation (say-on-pay), mergers and major transactions, ratification of auditors, and shareholder proposals (e.g., on ESG issues).

Proxy voting — a written authorization for someone else to vote your shares — is the standard method: most shareholders cannot or do not attend in person (meetings can be virtual, hybrid, or in-person), and **over 95%** of votes in large public companies are cast by proxy.

Aspect	Impact
Corporate governance	Shareholders influence board composition, strategy, and accountability
Institutional power	Large funds (BlackRock, Vanguard, State Street) control huge votes via proxy
Activism	Enables shareholder proposals on climate, diversity, executive pay, etc.
Outcomes	Can sway close votes on contentious issues (e.g., director elections, mergers)

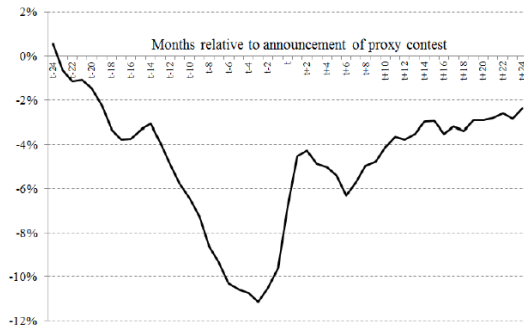
Proxy Contest and Shareholder Activism

A **proxy contest** (proxy fight / proxy battle) is a shareholder-driven campaign to gain influence or control over a company by soliciting votes (proxies) from other shareholders — usually in opposition to the existing management or board.

- **Triggered by dissatisfaction:** activists believe the company is underperforming, has poor governance, misallocated capital, or needs strategic change (sell the company, spin off divisions, replace CEO, cut costs)
- **Main goal:** replace some or all board members with the activists' own nominees (a "board contest") or push through specific proposals
- *Video example:* **Other People's Money** — management pitch vs. activist pitch

Why Initiate a Proxy Contest?

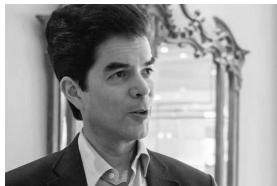
Shareholders are more likely to initiate a proxy contest after a period of **poor stock performance**. The chart plots cumulative abnormal returns from 24 months before the announcement of a proxy contest to 24 months after.



Source: Fos (2016)

Mini Case: David Webb — HK Pioneer of Activist Investing

British-born activist investor and transparency advocate, a legendary figure in Hong Kong finance. His campaigns targeted practices that disadvantaged minority shareholders — share dilution and opaque networks.



- **Project VAMPIRE (2003)**: opposed resolutions letting companies issue up to 20% new shares for cash without pre-emptive rights, letting controlling shareholders dilute minority stakes. Webb mobilized investors via webb-site.com; the limit was later cut to 5% without a shareholder vote
- **The Enigma Network expose (2017)**: revealed 50 interconnected HK-listed companies — brokers, construction firms, even an umbrella manufacturer — linked by cross-shareholdings and common owners that propped up stock prices. 38 stocks plunged, some by over 90%, wiping out billions

Primary Markets and Equity Issuance

Primary markets are markets in which corporations raise funds through **new issues of stock**, most of the time through investment banks, which act either as:

Best efforts underwriting The underwriter acts as an agent to sell the shares on behalf of the company, using their “best efforts” to market and sell them

Firm commitment underwriting The underwriter buys the entire issue from the company at a discounted price and resells it to the public, assuming full ownership and risk

Sometimes a **syndicate** (a group of investment banks) is formed to issue stock — the lead underwriter is the *originating house*, and risk is spread among all participants.

Types of issuance:

- **IPO**: the first public issue of financial instruments by a firm — raises money to fund operations and provides liquidity for existing shareholders to sell
- **SEO**: the sale of additional securities by a firm whose securities are already publicly traded
- **Shelf registration**: multiple issues over a two-year period with only one registration statement, so the company can time the sales to favorable market conditions

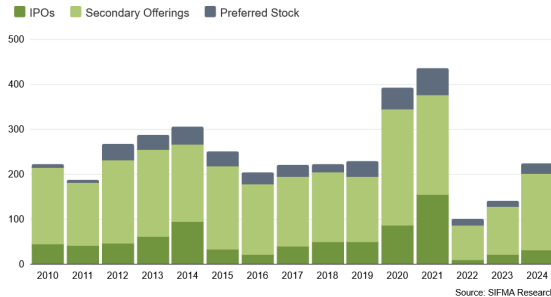
Benefits of IPO — and US Equity Issuance

IPO benefits the firm by:

- Raising additional funds for expansion, now and in the future through SEOs
- Public stock usable as compensation to attract talent
- Price discovery through secondary market trading
- Prestige of being a public firm may reduce the cost of borrowing

U.S. Equity Issuance

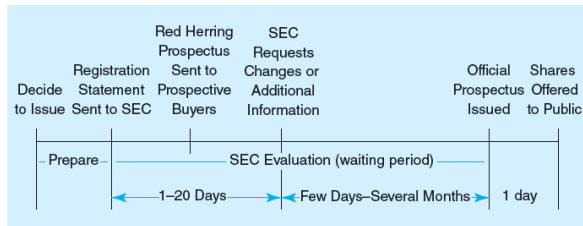
\$ Billions



The IPO Process

- ➊ **Decision and preparation:** the firm decides to issue and sends a registration statement to the SEC
- ➋ **Preliminary prospectus distribution:** the Red Herring prospectus is sent to prospective buyers
- ➌ **SEC review and feedback:** the SEC requests changes or additional information
- ➍ **SEC evaluation / waiting period**
- ➎ **Final approval and offering:** the official prospectus is issued

Figure 8-4 Getting Shares of Stock to the Investing Public



Example: An IPO Prospectus

As filed with the Securities and Exchange Commission on February 1, 2012

**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION**
Washington, D.C. 20549

**Form S-1
REGISTRATION STATEMENT**
*Under
The Securities Act of 1933*

Facebook, Inc.
(Exact name of Registrant as specified in its charter)

7370
(Primary Standard Industrial
Classification Code Number)

Facebook, Inc.
1601 Willow Road
Menlo Park, California 94025
(650) 308-7300

(Address, including zip code, and telephone number, including area code, of Registrant's principal executive offices)

David A. Ebersman
Chief Financial Officer
Facebook, Inc.
1601 Willow Road
Menlo Park, California 94025
(650) 308-7300

(Name, address, including zip code, and telephone number, including area code, of agent for service)

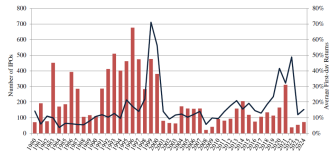
Source: SEC EDGAR

Well-Known Facts about IPOs

- Underpricing of IPOs** First-day returns of IPOs are typically highly positive. The IPO firm effectively “left money on the table”: it could have priced the offering higher and raised more money
- Hot and cold markets** The number of IPOs follows hot and cold markets — firms try to time the market, selling equity to the public when valuations are high
- Long-run underperformance** IPOs perform poorly compared with similar firms 3–5 years after the IPO

First-Day Returns of IPOs: US, Japan, China, Hong Kong

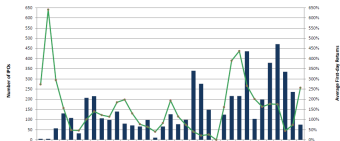
Figure 5: The number of IPOs and average first-day returns per year, 1986-2024



The number of IPOs (bars) and equally weighted average first-day return, by year, for 1986-2024 for operating companies going public with traditional IPOs on major U.S. exchanges (ADRs, penny stocks, etc. are excluded. See Table 1 for details.)

US

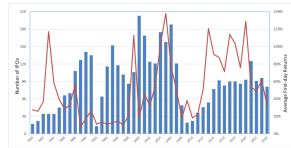
Number of Offerings and Average First-day Returns on Chinese IPOs, 1990-2024
(Where price limits are binding, returns are measured until the first close that is unconstrained)



Source: Qian, Ritter, and Shao "Initial Public Offerings Chinese Style" (JFOA 2024) and Dealogic. There were no IPOs in 2013, due to a CSRC moratorium. Beijing Stock Exchange IPOs are not included.]

China

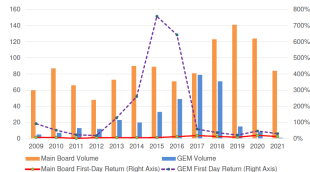
Number of offerings (blue bars) and EW average first-day returns on Japanese IPOs, 1980-2024



Source of data: Takachi Kanelo, Takato Hiraki, and others. The average equally weighted (EW) first-day return for 2001-2023 is 75.4%, but the proceeds-weighted return is 16.5%.

Japan

HK GEM and Main Board IPO volume and avg. initial returns, 2009-2021



Hong Kong

Source: Prof. Jay Ritter's website

Why Are IPOs Underpriced? (1/2)

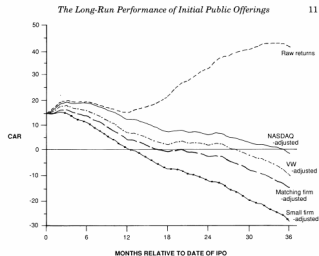
1. **Winner's curse** Informed investors apply only if the IPO is underpriced. Uninformed investors know they will get IPO shares only when informed investors don't want to invest — so the uninformed never want to participate. Since the firm needs to raise capital from both informed and uninformed investors, IPOs must on average be underpriced to get the uninformed to apply
2. **Bandwagon hypothesis** The firm underprices to get the first few investors to participate; subsequent investors blindly follow the first few — a story about information cascades. This generates more demand for the IPO, and more underpricing

Why Are IPOs Underpriced? (2/2)

3. **Investment bank conflicts of interest** Banks have superior information and the power to underprice IPOs. They allocate IPOs to their favorite clients and expect future favors from them. Evidence: for hot issues, underwriters set up personal brokerage accounts for venture capitalists and executives of issuing firms in order to allocate hot IPOs to them
4. **Lawsuit / litigation avoidance** People who made money are less likely to examine the prospectus for false statements, and less likely to sue the firm or the investment bank when the stock underperforms later
5. **Irrational investors** Overoptimistic investors pay too much for the IPO on the first day of trading — consistent with evidence of poor long-run future performance

Long-Run Performance of IPOs

IPO firms on average **underperform** peer firms 3–5 years after the IPO.



Underwriter	Number of IPOs	Average First-day Return	Average 3-year Buy-and-hold Return		
			IPOs	Market-adjusted	Style-adjusted
Goldman Sachs	272	27.6%	6.7%	-25.6%	-22.8%
JP Morgan	224	25.7%	20.7%	-10.5%	0.5%
Morgan Stanley	218	26.9%	31.0%	-0.4%	6.5%
BOA-Merrill	133	24.5%	16.3%	-17.0%	-2.3%
Jefferies	91	24.3%	1.0%	-31.3%	-21.5%
UBS/Credit-Suisse	89	10.9%	16.9%	-17.5%	-16.3%
Citigroup	82	8.0%	-24.0%	-9.1%	-29.9%
Barclays	46	16.7%	28.6%	-0.5%	9.7%
Cowen	29	26.1%	-42.3%	-74.6%	-54.3%
Deutsche Bank	19	11.7%	44.4%	12.7%	-1.8%
Stifel	18	12.3%	46.6%	12.1%	34.2%
Others (regionals)	118	11.1%	10.0%	-25.0%	-13.3%
Others (lower tier)	140	38.2%	-44.7%	-74.2%	-37.0%
2012-2021	1,479	23.6%	10.6%	-21.6%	-12.3%

Source: Jay Ritter (1991, *Journal of Finance*)

Why Long-Run Underperformance?

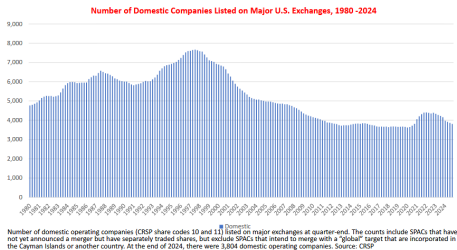
Convergence of opinion Only optimistic investors buy on the first day; pessimistic investors cannot short. Subsequently the pessimists' views get incorporated and the price drops

Passing of a fad Investors slowly realize the firm's potential was overstated — e.g., the technology bubble (peaking in 2000)

Firms timing the IPO market Firms do an IPO during times when their equity is the most overvalued

IPO as lottery Investors pay a high price hoping the stock becomes the next superstar with a huge payoff (think Google, IPO 2004; Facebook, IPO 2012)

The Decline of US Public Markets



Source: Jay Ritter's website

What caused the decline?

- **Increasing regulatory and compliance costs:** the Sarbanes-Oxley Act of 2002, enacted in response to corporate scandals like Enron (2001), imposed stricter financial reporting, auditing, and governance requirements
- **Availability of private capital:** easier access to venture capital and private equity allows firms to grow without an IPO
- **M&A activity:** a surge in M&A has consolidated the market, with larger public companies acquiring smaller ones, reducing the number of independent listed firms
- **Decline in new listings:** fewer companies pursue IPOs due to the high upfront costs

Secondary Stock Markets

Secondary stock markets are the markets in which stocks, once issued, are **traded among investors**.

New York Stock Exchange Largest stock exchange in the world by market capitalization (\$32.3 trillion in listed equity at end-2025, WFE). Located on Wall Street in New York; founded in 1817; approximately 2,100 listed companies (WFE, end-2025)

NASDAQ The world's first electronic market; no physical trading floor; heavily weighted toward technology companies

Over-the-counter (OTC) markets A decentralized dealer network where trades occur directly between parties through broker-dealers, rather than on a centralized exchange

Trading on the NYSE vs. NASDAQ

The NYSE and NASDAQ differ significantly in trading mechanisms, structure, and order execution.

- **NYSE**: trading occurs at a specific place on the exchange floor called a **trading post**. Each stock has a special market maker — a *specialist* (old) or **Designated Market Maker** (new) — that maintains liquidity for the stock at all times; DMMs stabilize order flows and prices in turbulent market environments
- **NASDAQ**: primarily a **dealer market** where multiple dealers act as market makers for a particular stock. Investors are not buying from and selling to one another directly, but through a dealer

NYSE vs. NASDAQ

Aspect	NYSE	NASDAQ
Primary model	Auction + Designated Market Maker (DMM)	Dealer / multiple competing market makers
Trading venue	Hybrid (electronic + floor presence)	100% electronic, no physical floor
Liquidity provision	DMM has affirmative obligation to provide liquidity and stabilize	Market makers compete; no single obligated party
Spreads & volatility	Often tighter spreads, lower volatility (especially large-caps)	Can have wider spreads in less liquid stocks; historically higher volatility
Typical company	Larger, established “blue-chip” firms (IBM, Coca-Cola, JPMorgan)	Tech, growth, biotech, newer companies (Apple, Tesla, Amazon, NVIDIA)
Listed companies	~2,100 (WFE, end-2025)	~3,300 (WFE, end-2025)
Perception	More traditional / prestigious	More innovative / tech-oriented

Order Types: Market vs. Limit Orders

Market order — buy 100 shares of AAPL right now: executes instantly at the current ask (e.g., \$225.40, even if you saw \$225.10 seconds ago). **Limit order** — buy AAPL only at \$220 or lower: executes only if sellers bring the price down to \$220 (or better, like \$219.50); if it never hits \$220, no trade.

Aspect	Market Order	Limit Order
Definition	Buy or sell immediately at the best available current market price	Buy or sell only at a specific price (or better) that you set
Execution	Almost immediately during market hours	Only if the market reaches your price (or better); may not execute at all
Price guarantee	None — you get whatever the market offers (could be worse than expected in volatile conditions)	Yes — won't pay more (buys) or receive less (sells) than your limit price
Execution guarantee	High — almost always fills quickly unless extremely illiquid	None — if the price never hits the limit, the order won't fill (may partially fill)
Speed	Very fast — prioritizes immediacy	Immediate if price already met; otherwise may take days or never fill
Best for	Liquid stocks/ETFs; entering or exiting right away; stable markets; unconcerned about slippage	Controlling the exact price; volatile markets; target entry/exit; avoiding paying too much or selling too low

Circuit Breakers

Circuit breakers are imposed trading halts that give investors time to make informed decisions during volatile market conditions.

During March 2020, the S&P 500 plunged sharply, triggering circuit breakers **four times in just 10 trading days** — an extremely rare event.

In the event of a 7 percent decline in the S&P:



Before 3:25 p.m.
15-MIN. HALT



After 3:25 p.m.
NO HALT

In the event of a 13 percent decline in the S&P:



Before 3:25 p.m.
15-MIN. HALT



After 3:25 p.m.
NO HALT

In the event of a 20 percent decline in the S&P,
regardless of the time MARKET CLOSES for
the day.

Source: New York Stock Exchange Euronext website

Margin Trading

Investors can borrow money from brokers to buy shares and amplify returns. With \$10,000 you can buy \$20,000 worth of stocks — $2\times$ leverage. When the portfolio value drops to \$13,333, your equity is \$3,333, triggering a **margin call**.

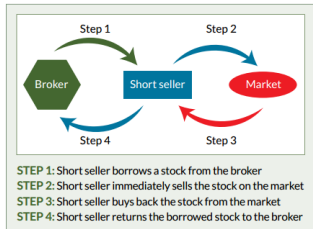
Requirement	Level	Who sets it
Initial margin	50% (in force since 1974)	Federal Reserve (Regulation T)
Maintenance margin	25% minimum	FINRA (brokers often require 30–40% as “house rules”)

- **Initial margin:** deposit at least 50% of the purchase price in cash or eligible securities; the broker lends the remaining 50%. To buy \$10,000 of stock you need \$5,000 equity. Some low-priced or volatile stocks carry higher house requirements (e.g., 100%)
- **Maintenance margin:** keep at least 25% equity relative to the current market value of the securities. If margined stocks are worth \$20,000, you need at least \$5,000 equity; if equity falls to \$4,000, a margin call is triggered

Short Selling

Investors can also **short sell** stocks to profit from an expected price decline. To short sell, you first need to **borrow shares from a broker**.

- Investors can make their shares available to be lent out — extra income for long-term investors
- The broker requires collateral for share borrowing, as shorting stocks is riskier than buying stocks
- Assets that cannot be shorted are usually inefficiently priced, more likely to have bubbles, and have larger bid-ask spreads (e.g., real estate)

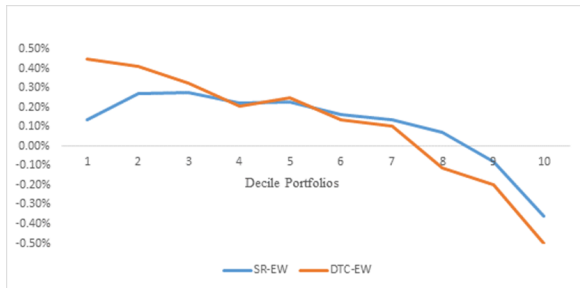


Short Selling as a Bearish Signal

My research shows that stocks with high **short interest ratio (SIR)** or **days-to-cover (DTC)** underperform significantly the next month.

Short interest ratio $\# \text{ shares being shorted} / \text{total shares outstanding}$

Days-to-cover $\# \text{ shares being shorted} / \# \text{ shares traded daily}$



Source: Hong et al. (2016, Working Paper)

WSJ coverage: "Beware Betting Against Short Sellers"

Calculating Stock Returns

The holding-period return on a stock over one period, R_t , divides into **capital gains** and **dividends**:

$$R_t = \underbrace{\frac{P_t - P_{t-1}}{P_{t-1}}}_{\text{capital gain}} + \underbrace{\frac{D_t}{P_{t-1}}}_{\text{dividend return}} \quad \text{where } R_t = \frac{D_t + P_t - P_{t-1}}{P_{t-1}}$$

- P_t = stock price at time t ; D_t = dividends paid over $t - 1$ to t
- $(P_t - P_{t-1})/P_{t-1}$ = capital gain over $t - 1$ to t ; D_t/P_{t-1} = return from dividends over $t - 1$ to t
- This is the **pre-tax** return. The after-tax return multiplies each component by $(1 - \text{tax rate})$ — usually different for capital gains versus dividends

Calculating Stock Returns: Example

An investor buys 10 shares of stock at \$55.10 and sells one year later at \$56.30, after collecting a \$0.30 dividend per share.

① **Pre-tax holding period return:**

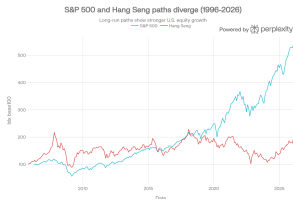
$$\text{HPR} = \frac{56.30 - 55.10 + 0.30}{55.10} = \frac{1.50}{55.10} = 2.72\%$$

② **After-tax HPR** (dividends taxed at 28%, capital gains at 20%):

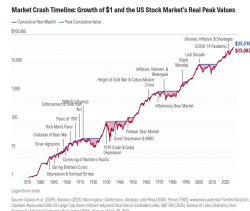
$$\text{HPR}_{\text{after-tax}} = \frac{1.20 \times (1 - 0.20) + 0.30 \times (1 - 0.28)}{55.10} = \frac{0.96 + 0.216}{55.10} = \frac{1.176}{55.10} = 2.13\%$$

Stock Market Indexes

A stock market index is the composite value of a group of secondary market-traded stocks; indexes provide information on broad stock market movement.



S&P 500 vs. Hang Seng, indexed paths 1996–2026



Major Stock Market Indexes in the US

Dow Jones Industrial Average (DJIA) One of the oldest, most well-known, and most frequently used indexes; 30 large blue-chip corporations. **Price-weighted:** each stock is weighted by its price per share — the index is an average of the share prices of all companies

S&P 500 Index (SPX) A broad-based index of 500 firms representative of the US economy. **Market-cap weighted:** each stock is weighted by its total market capitalization (share price $\times$ number of shares outstanding)

Question: what is the key difference between a price-weighted and a market-cap weighted index?

Price-Weighted vs. Market-Cap Weighted Index: Example

The market has three stocks, A, B, and C:

	Initial price	Final price	Return	# shares	Initial mkt cap	Final mkt cap
Stock A	\$30	\$36	20%	700	\$21,000	\$25,200
Stock B	\$100	\$80	-20%	100	\$10,000	\$8,000
Stock C	\$70	\$77	10%	200	\$14,000	\$15,400
Total	\$200	\$193			\$45,000	\$48,600

- **Price-weighted:** initial index = $200/3 = 66.7$; final index = $193/3 = 64.3$; index return = -3.5%
- **Market-cap weighted:** initial index = $45,000/3 = 15,000$; final = $48,600/3 = 16,200$; index return = 8%
- **Question:** why do the two index returns differ?

Evolution of Sector Distribution in the Dow Jones

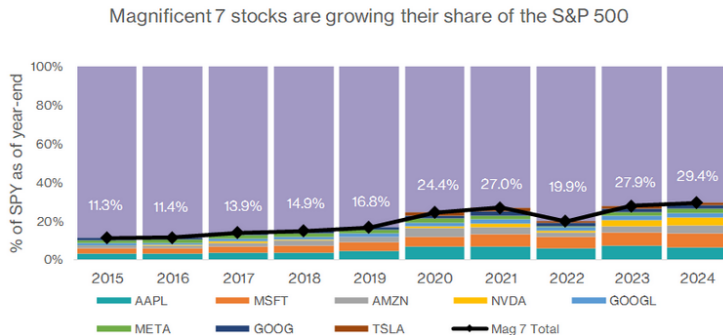
Year	Info Tech	Fin.	Health	Cons. Disc.	Cons. Staples	Industrials	Energy/Mat.	Comm./Other
1928	0	1-2	0-1	3-5	4-6	15-18	6-8	1-2
1950	0-1	2-3	1-2	4-6	5-7	12-15	5-7	2-3
1980	1-2 (IBM)	3-4	2-3	5-7	6-8	10-12	4-6	2-3
2000	4-5	3-4	3-4	6-8	5-6	6-8	3-4	2-3
2010	5-6	4-5	4	6-7	4-5	6-7	2-3	2
2020	5	5-6	5	4-5	3-4	5-6	2-3	2-3
Sept 2026	6	5	4	4	3	4	2	2

30 Stocks in the Dow Jones Industrial Average (Sept 2026)

Ticker	Company	Industry	Ticker	Company	Industry
AAPL	Apple Inc.	Information technology	JNJ	Johnson & Johnson	Pharmaceutical
AMGN	Amgen Inc.	Biopharmaceutical	JPM	JPMorgan Chase & Co.	Financial services
AMZN	Amazon.com, Inc.	Retailing	KO	The Coca-Cola Company	Drink industry
AXP	American Express Co.	Financial services	MCD	McDonald's Corp.	Food industry
BA	The Boeing Company	Aerospace and defense	MMM	3M Company	Conglomerate
CAT	Caterpillar Inc.	Construction equip.	MRK	Merck & Co., Inc.	Pharmaceutical
CRM	Salesforce, Inc.	Information technology	MSFT	Microsoft Corporation	Information technology
CSCO	Cisco Systems, Inc.	Information technology	NKE	Nike, Inc.	Clothing industry
CVX	Chevron Corporation	Petroleum industry	NVDA	NVIDIA Corporation	Information technology
DIS	The Walt Disney Co.	Broadcasting, ent.	PG	Procter & Gamble Co.	Fast-moving consumer goods
GOOGL	Alphabet Inc.	Interactive media & services	SHW	Sherwin-Williams Co.	Specialty chemicals
GS	Goldman Sachs Group	Financial services	TRV	Travelers Companies	Insurance
HD	The Home Depot, Inc.	Home improvement retail	UNH	UnitedHealth Group	Managed health care
HON	Honeywell Intl. Inc.	Conglomerate	V	Visa Inc.	Financial services
IBM	Intl. Business Machines	Information technology	WMT	Walmart Inc.	Retailing

Issues with the S&P 500 Index

Growing dominance of the **Magnificent 7** stocks — Apple, Microsoft, Amazon, Nvidia, Alphabet/Google, Meta, and Tesla — in the S&P 500 index.



Source: Bloomberg LP, VettaFi. Data is year-end except for 2024 data which is as of February 9, 2024

Other Major Stock Market Indexes

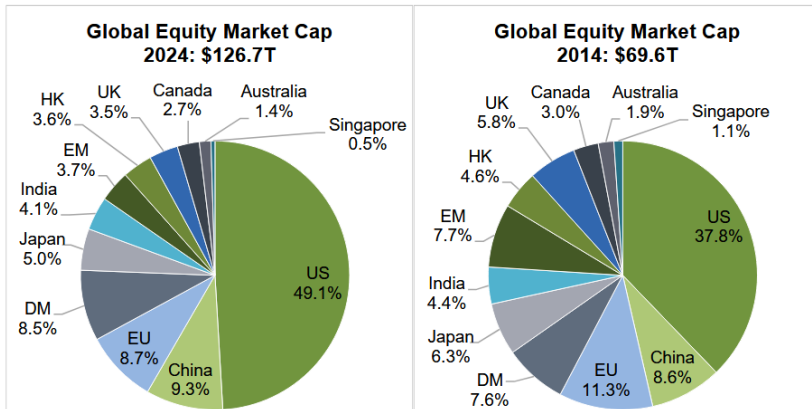
US indexes

- **NASDAQ Composite (COMP):** market-cap weighted index of all stocks traded on the Nasdaq stock exchange
- **Russell 3000:** market-cap weighted index of the 3,000 largest US-traded stocks — about 97% of all US-incorporated equity securities

Major indexes outside the US

- UK: FTSE 100
- Singapore: Straits Times Index (STI)
- Japan: Nikkei 225
- China: Shanghai Composite (SHCOMP)
- Hong Kong: Hang Seng Index (HSI)

Global Equity Market Cap



Source: Bank of International Settlements (BIS), World Federation of Exchanges

Is the Stock Market a Leading Economic Indicator?

- An increase (decrease) in stock market indexes today potentially signals the market's expectation of higher (lower) corporate dividends and profits and, in turn, higher (lower) economic growth
- One of the leading economic indicators used by the Fed

Leading Economic Indicators
Average weekly hours of manufacturing production workers
Average weekly initial claims for unemployment insurance
Manufactures' new orders for consumer goods and materials
Vendor performance, slower deliveries diffusion index
Manufactures' new orders for nondefense capital goods
Building permits for new private housing units
Stock prices
Money supply (M2)
Interest rate spread of 10 year Treasury over federal funds rate
Index of consumer expectations

Is the US Stock Market in a Bubble Now?

Source: Robert Shiller's website

US Stock Market Regulations

- SEC — Securities and Exchange Commission** The primary regulator of US stock markets. Promotes full disclosure of information on securities and fair treatment of investors; enforces the Securities Act of 1933 and the Securities Exchange Act of 1934; prosecutes illegal insider trading
- FINRA — Financial Industry Regulatory Authority** The regulator for all US securities firms: oversees brokers and dealers, examines securities firms and promulgates rules, enforces federal securities laws, and conducts dispute arbitration

The SFC in Hong Kong

The **Securities and Futures Commission (SFC)** is an independent statutory body set up in 1989 to regulate Hong Kong's securities and futures markets. Its investigative, remedial, and disciplinary powers derive from the **Securities and Futures Ordinance (SFO)** and subsidiary legislation. Operationally independent of the Government of the HKSAR; funded mainly by transaction levies and licensing fees.

- **Protecting investors:** safeguard the investing public through fair treatment, transparency, and adequate disclosure
- **Maintaining fair, orderly, and efficient markets**
- **Licensing and supervision of intermediaries**
- **Enforcement and discipline:** investigate suspected breaches of securities laws
- **Promoting market development and education:** encourage the orderly growth and international competitiveness of HK's financial markets; investor education via resources, alerts, and campaigns
- **Regulation of products and activities:** authorize and oversee collective investment schemes (e.g., mutual funds, unit trusts)

Key Takeaways

Stocks Ownership (common stock) with voting rights & residual claim; preferred stock has fixed dividends & priority but usually no vote

Primary market Firms raise capital via investment banks (firm commitment vs. best efforts). IPO anomalies: significant underpricing (high first-day returns) followed by long-run underperformance (3–5 years); reasons include winner's curse, bank conflicts, market timing

Secondary market NYSE: auction market with designated market makers; NASDAQ: dealer market with multiple market makers. Market orders = immediate execution; limit orders = price control. Short selling bets on price decline via borrowed shares; high short interest predicts negative returns

Returns and indexes Total return = capital gains + dividends. Price-weighted (DJIA): higher-priced stocks have more influence; market-cap weighted (S&P 500): larger companies have more influence. Indexes are leading economic indicators

Regulation SEC (US) / SFC (HK): ensure full disclosure, fair trading, and prosecute insider trading